members. The new procedure increased the power of European Parliament, which had been functioning since 1952. Specifically, legislative proposals that were rejected by the Parliament could be adopted by the Council of Ministers by a unanimous vote.

European Union (EU)



European Union Flag - Euro Currency

In December 1991 the members of EC came together and signed the Treaty of Maastricht by which the European Union was established in 1993 with a single market. With the establishment of European Union, the members worked on other areas such as foreign policy and internal security. This treaty paved the way for the creation of a single European currency – the euro. In 2017, Britain voted to exit the EU (British Exit known as "Brexit"). Today the European Union has 28 member states, and functions from its headquarters at Brussels, Belgium.

End of Cold War

The US and the Soviet Union had created a bi-polar international structure. Initially the Soviet military capabilities were weak. But by 1969 USSR had equalled US in terms of nuclear capability. The threat of Mutual Assured Destruction (MAD) created fear in both powers. Moreover, the nuclear race was expensive and cost them heavily. The earmarking of larger portions of their budgets for defence caused a resource crunch. Strong disarmament movements in Europe also put pressure on the ruling governments. This pushed the superpowers to the negotiating table.

The period from the late 1960s to the late 1970s is known as period of détente (temporary stoppage of hostility). The period witnessed increased trade and cooperation between the US and the Soviet Union. The Strategic Arms Limitation Talks (SALT 1972 & 1979) and later the Strategic Arms Reduction (START, 1991) treaties heralded an era of coexistence and cooperation.



Gorbachev with Ronald Reagan in American Summit

With the election of Mikhail Gorbachev as the President of USSR in March 1985, there were phenomenal political and social changes in the Soviet Union. Gorbachev committed himself to reforms. In February 1986 he spoke in the Communist Party Congress, explaining the need for political and economic restructuring, or *perestroika*, and called for a new era of transparency and openness, or *glasnost*. By *Perestroika* Gorbachev loosened centralised control of many institutions, allowing businesses, farmers and manufacturers to decide for themselves which products to make, how much to produce, and what to charge for them.

Glasnost was instituted as a part of an effort by Gorbachev to democratise the governing structure of Soviet Union. Fundamental changes occurred in the political structure of the Soviet Union: reduction of the power of the Communist Party, and multicandidate elections for assembly membership. Glasnost also permitted criticism of government officials and

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